

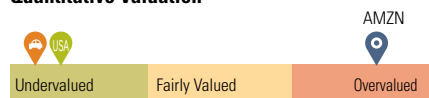
Amazon.com Inc AMZN (XNAS)

Morningstar Rating	Last Price	Fair Value Estimate	Price/Fair Value	Trailing Dividend Yield %	Forward Dividend Yield %	Market Cap (Bil)	Industry	Stewardship
★★	3,057.04 USD	2500.00 USD	1.22	—	0.00	1,524.78	Internet Retail	Exemplary
06 Jul 2020 21:40, UTC	06 Jul 2020	07 May 2020 13:33, UTC		06 Jul 2020	06 Jul 2020	06 Jul 2020		

Morningstar Pillars	Analyst	Quantitative
Economic Moat	Wide	Wide
Valuation	★★	Overvalued
Uncertainty	High	High
Financial Health	—	Strong

Source: Morningstar Equity Research

Quantitative Valuation



	Current	5-Yr Avg	Sector	Country
Price/Quant Fair Value	1.24	0.95	0.80	0.83
Price/Earnings	138.1	237.9	16.2	20.1
Forward P/E	135.1	—	12.3	13.9
Price/Cash Flow	36.7	30.0	10.2	13.1
Price/Free Cash Flow	75.4	65.8	17.7	19.5
Trailing Dividend Yield%	—	—	2.46	2.35

Source: Morningstar

Bulls Say

- ▶ Amazon dominates North America's online retail category with estimated gross merchandise volume (GMV) of approximately \$275 billion in the region during 2019.
- ▶ With more than half of the world's Internet users coming from developing markets, Amazon has ample international growth opportunities for its marketplaces, cloud services, advertising, and devices.
- ▶ Amazon's device portfolio—including Kindle, Fire TV, Dash, Echo, and other Alexa-enabled products—are intriguing customer acquisition/retention tools that also promote Prime member engagement and AWS services.

Bears Say

- ▶ Amazon's future margin expansion trajectory will likely be uneven, given its global logistics needs, content investments, increased competition, and physical store/healthcare initiatives.
- ▶ International expansion brings unique challenges such as local e-commerce regulations, incremental fulfillment infrastructure investment requirements, and incumbent local-market rivals.
- ▶ AWS faces competition from well-capitalized peers like Microsoft Azure and Google, potentially resulting in more aggressive price competition and longer-term margin expansion pressure.

Important Disclosure:

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COVID-19-Related Investments Position Amazon for Future Marketplace and Cloud Market Share Gains

Business Strategy and Outlook

R.J. Hottovy, CFA, Analyst, 07 May 2020

Amazon's disruption of the retail industry is well documented, but the company continues to find ways to evolve its business model. Its operational efficiency, network effect, and a brand intangible asset give its marketplaces sustainable competitive advantages that few, if any, traditional retailers can match. The combination of competitive pricing, unparalleled logistics capabilities and speed, and high-level customer service makes Amazon an increasingly vital distribution channel for consumer brands (especially in light of COVID-19 operating restrictions hindering physical retailers). Even with more retailers looking to expand online, we believe Amazon will maintain its consumer proposition through expedited Prime shipping, an expanding digital content library, and new member benefits. Aided by more than 480 million estimated global active users, 155 million global Prime members, and fulfillment infrastructure, technology, and content investments, Amazon owns one of the wider economic moats in the consumer sector and is likely to reshape retail, digital media, enterprise software, and other categories for years to come.

Key top-line metrics—including gross merchandise volume growth (a 18% compound annual growth rate the past five years), total physical and digital units sold (22% CAGR), and third-party units sold (28% CAGR)—continue to outpace global e-commerce trends, suggesting that Amazon is gaining share while fortifying its network effect. On top of its impressive growth, Amazon is building a more visible margin expansion story despite investment requirements for Prime one-day shipping (including fulfillment infrastructure/capacity), content deals, AmazonFresh, hardware such as the Echo/Alexa-enabled products, AWS, and physical store expansion. While some capital decisions haven't always yielded strong returns, we're optimistic that Amazon can approach 8% operating margins by 2024 based on Prime adoption and new pricing tiers, new subscription services across multiple categories, AWS segment margins around 30%, fulfillment center scale, new third-party seller services, expanded advertising offerings, and Alexa technology licensing arrangements.

Analyst Note

R.J. Hottovy, CFA, Analyst, 01 May 2020

While most investors recognized the possibility of incremental costs to satisfy a surge in consumer demand, few anticipated Amazon's plans to invest more than \$4 billion in the second quarter for coronavirus expenses (including facility productivity measures, protective equipment, cleaning, wage increases, and COVID-19 testing capabilities). While this changes our near-term margin outlook, we see it as necessary to satisfy/retain Prime members in an evolving consumer environment (especially those tempted to shop elsewhere because of fulfillment bottlenecks) and improve the third-party seller experience. These are critical to the network effect underpinning our wide-moat rating and justify the investment spending.

We have three takeaways from the quarter. First, management indicated many COVID-19-related investments would be temporary and would wind down as the situation dictates. While we expect COVID-19 investments to persist beyond the second quarter, some of the impact will be softened as Amazon laps last year's Prime one-day shipping investments. Second, Amazon should remain a critical distribution channel for buyers/sellers, even if recessionary conditions persist because of a product mix shift toward consumer staples in recent years (including grocery). Third, while AWS revenue growth was a bit softer than expected (chalked up to softness among customers in higher discretionary categories), margins improved 120 basis points to 30.1%. This suggests increased usage and new service adoption trends among existing customers, which help to negate the margin impact of near-term COVID-19 investments.

We're planning to raise our full-year revenue growth outlook to the mid-20s but cut our operating margin outlook to the 4% range (versus 5.2% in 2019). We're also planning a modest increase in our medium-term revenue outlook, which will result in a modest increase to our \$2,400 FVE. We see shares as fairly valued, but don't see many downside catalysts on the horizon.

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Economic Moat

R.J. Hottovy, Analyst, 07 May 2020

The traditional brick-and-mortar retail industry has undergone a period of rapid transformation the past several years, a trend that will likely continue as the industry recovers from COVID-19. With nonexistent customer switching costs and intense competition, we've already seen Circuit City, Linens 'n Things, Borders, and RadioShack exit the retail landscape, while a host of other retailers struggle to reverse deteriorating fundamentals. Market consolidation among mass merchants like Walmart and Costco has played a role in this trend, as have direct-to-consumer investments by key manufacturers. However, we view Amazon as the most disruptive force in retail. Its operational efficiency, network effect, and laser focus on customer service provide its marketplaces with sustainable competitive advantages that traditional retailers cannot match; this should yield additional market share gains in the years to come. Despite fulfillment, technology (hardware devices, Alexa, and AWS), and content investments as well as additional expenses for COVID-19, we expect Amazon can generate economic returns ahead of our cost of capital assumption over an extended horizon, supporting our wide moat rating.

One of Amazon's key advantages is the operational efficiency of its fulfillment and distribution network, which satisfies consumer demand for free and expedited shipping (including expanded one-day delivery options for Prime members starting in 2019). This allows Amazon to generate strong cash flow, which in turn can be reinvested in advertising, customer service, and website enhancements that keep its marketplace robust and customer loyalty strong. In fact, we believe Amazon's brand has come to represent low prices, a wide selection, convenience, and superior customer service—a rare combination among retailers.

Amazon also benefits from a network effect, as low prices, an expansive breadth of products, and a user-friendly interface attract millions of customers, which in return attract merchants of all kinds to Amazon.com, including third-party sellers on Amazon's Marketplace platform (which represented 53% of total units sold in 2019) and wholesalers/manufacturers selling directly to Amazon. According to our research, the percentage of traffic to Amazon derived from search has fallen in recent years at a time when other online retailers have become more dependent on search. We think this indicates that Amazon

is increasingly becoming the starting point for online purchases, akin to a mall anchor tenant. Additionally, customer reviews, product recommendations, and wish lists increase in relevance as more consumers and products are added to the Amazon platform, enhancing its network effect.

Amazon's \$13.7 billion acquisition of Whole Foods in 2017 marked its most significant push into the grocery category but likely left some investors scratching their heads after more than two decades of building an e-commerce empire without physical stores. While we had expected the company to further test its other grocery concepts before going all in with physical stores, we do see several reasons this acquisition is more than just a push into the grocery category and can enhance Amazon's wide moat. First, there is already a high degree of overlap between Amazon Prime members and Whole Foods shoppers. Second, Amazon adds instant credibility in fresh produce and proteins through Whole Foods' supplier base, something that had been slow to materialize with Amazon's grocery efforts to this point. On top of the company becoming a reputable player in fresh food, we expect that many Whole Foods suppliers will explore Amazon as a potential distribution channel, at least those not already using Amazon's marketplaces. Third, Amazon has a new vehicle to meaningfully expand and accelerate its private-label offerings, including its own packaged food and household product private labels such as Happy Belly, Bloom Street, Mama Bear, and Wickedly Prime as well as the opportunity to sell Whole Foods' 365 label to existing Prime customers. Finally, Whole Foods' physical locations offer an opportunity to showcase new Amazon products and technologies.

We like Amazon's ability to compete in digital media, given its sizable customer base, the symbiotic hardware/software ecosystem of its Kindle, Fire TV, Dash, and Echo products, and intriguing advertising and licensing possibilities with Amazon's Echo and other Alexa-enabled voice-recognition products. We still view the Kindle suite of products as customer-acquisition tools that add multiple layers of upside to our base-case assumptions, including additional Prime memberships and engagement levels, accelerating digital media sales, and a positive halo effect on general merchandise sales. We believe Amazon will continue to develop into a formidable player in digital media, given its vast content offerings, inroads into new verticals (including video games), and ability to sell hardware as a

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loss leader.

We believe Amazon Web Services has similarly developed cost advantage, intangible asset, and network effect moat sources. Amazon's public cloud computing offerings possess more than 3 times the computing capacity in use than the next 10 largest providers combined (based on our estimates), providing the company with scale advantages and often making it the preferred name for corporations looking to reduce information technology expenditures. We expect AWS to generate \$47 billion in revenue during 2020, and we forecast average annual revenue growth of 25% over the next five years. With recent investments in additional capacity and other innovations, we expect AWS to become an increasingly positive gross margin contributor--the segment posted a 26.3% segment operating margin in 2019, and we believe it can deliver roughly 30% operating margins over a longer horizon--because of its highly scalable nature and other mission-critical services outside of cloud storage, as well as a network of third-party software providers selling on AWS Marketplace.

As one of the global leaders in online commerce, Amazon finds itself in a unique position amid the global COVID-19 outbreak. As containment efforts persist and consumers isolate themselves, we believe certain Amazon services will continue to see increased adoption. The most obvious example is online grocery, which has accelerated significantly based on our discussions with logistics industry executives. With a spike in telecommuting, AWS also stands to benefit from increased enterprise cloud computing, storage, networking/content delivery, mobile app, and digital security usage. On top of increased enterprise-level cloud demand, we anticipate Amazon will benefit from increased demand for entertainment content, either directly (its own content portfolio) or indirectly (AWS functionality for Netflix and other content providers).

However, Amazon could also face obstacles. At the top of the list is COVID-19-related expenses, as management has announced plans to invest more than \$4 billion in the second quarter of 2020 (including facility productivity measures, protective equipment, cleaning, wage increases, and COVID-19 testing capabilities). While this changes our near-term margin outlook, we see it as necessary to satisfy/retain Prime members in an evolving

consumer environment (especially those tempted to shop elsewhere because of fulfillment bottlenecks) and improve the third-party seller experience. These are critical to the network effect underpinning our wide moat rating and justify the investment spend. Amazon has done a better job diversifying its product mix toward more consumer staples in recent years, but a material consumer slowdown/recession would still impact top-line growth.

Fair Value & Profit Drivers

R.J. Hottovy, Analyst, 07 May 2020

We're raising our fair value estimate to \$2,500 per share from \$2,400 following Amazon's first-quarter 2020 update, as we believe COVID-19-related changes in consumer behavior will help to accelerate Amazon's online commerce and cloud service revenue, partly tempered by near-term COVID-19-related expenses. In Amazon's case, we do not believe traditional price/earnings and enterprise value/EBITDA metrics are meaningful, given the impact that near-term investments are expected to have on near-term margins. Still, we believe Amazon warrants a premium valuation based on its wide economic moat, meaningful avenues for growth, and longer-term margin expansion potential.

We expect COVID-19-related demand to drive online commerce and cloud service market share gains in 2020, putting full-year revenue growth around 26% (up from initial expectations in the low-20s). We've also raised our five-year average annual revenue growth outlook to 17% from 15% due to greater engagement among Amazon Prime members, increased sales from its third-party sellers, digital content sales, international expansion, and emergent business segments like advertising and technology licensing. With respect to Amazon's sales mix, we forecast online retail revenue to grow 15% annually over the next five years--below our forecast of low-double-digit global industry growth over the same period, but partly a byproduct of Amazon's shift to a third-party marketplace--with smaller segments like physical stores, third-party seller services, subscription services, AWS, and advertising growing 5%, 16%, 20%, 26%, and 30%, respectively, over the same period.

We forecast that gross margins will improve to 42.1% over the next five years, compared with 41.0% in 2019. Amazon's growing clout with suppliers and advertisers, a higher proportion of third-party units in the sales mix, AWS' increased presence, and new advertising service

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offerings should allow for higher gross margins. We also forecast operating margin expansion through increasing expense leverage (particularly in the marketing and general & administrative expense line items), contribution from AWS, and accelerating third-party unit sales. Our model calls for Amazon to approach 8% GAAP operating margins over the next five years, based on its strong competitive positions in AWS and North American e-commerce, as well as early indications of success in certain international markets.

Risk & Uncertainty

R.J. Hottovy, Analyst, 07 May 2020

Despite its leading position in North American and European e-commerce, Amazon faces several potential risks. Impairment to Amazon's low-price positioning, whether real or perceived, could have an adverse impact on fundamentals. Amazon must maintain its value proposition and logistics efficiency to drive site traffic while competing with other merchants for market share. This includes managing Amazon Prime fees, but we believe the combination of fulfillment capabilities, expanded digital content offerings, and new subscription and streaming offerings will keep Prime membership churn to a minimum. Other execution risks include expansion into peripheral business lines and physical stores (including Whole Foods), which could distract management or lead to poor capital-allocation decisions. International growth brings unique regulatory challenges, as foreign governing bodies are constantly amending online commerce laws, often to the benefit of local competitors. We also expect coronavirus-related changes in consumer behavior will have a lasting impact on the industry and drive near-term operating volatility.

On top of execution risk, we see three other sources of potential risk: (1) regulatory, including the threat of increased shipping fees from the U.S. Postal Service or other regulated carriers, higher taxes, restrictions regarding simultaneously operating a first- and third-party marketplace, and antitrust investigations by the Justice Department; (2) direct and indirect competition from other retailers or technology firms; and (3) intangible asset impairment, including data breaches, concerns over inappropriate data usage, or consumer fatigue. On the other hand, we see sources of upside risks from more diversified/specialized AWS offerings, expanded Fulfillment by Amazon capabilities, the rollout of Amazon Fresh across additional urban centers, new potential pricing

tiers or add-on features for Amazon Prime memberships, and expanding advertising to new channels.

Stewardship

R.J. Hottovy, Analyst, 07 May 2020

Chairman and CEO Jeff Bezos founded Amazon.com in 1994. We view Amazon's management team as Exemplary in terms of corporate stewardship. Bezos owns about 15% of the shares (and voting rights for 20%), takes no equity compensation or bonus pay, and collects a paltry salary. Although the board is small, it is elected every year, receives no cash compensation, avoids insider relationships, and hasn't implemented antitakeover provisions. The company also provides a fair amount of supplementary financial data in its financial reports. Our only complaint is that specific disclosures have not increased as the company has expanded into new areas, including digital downloads, device sales, and user/Prime membership data (though to its credit, management broke out AWS as a separate business unit in the first quarter of 2015 and disclosed that the company surpassed 150 million Prime memberships globally at the end of 2019).

Amazon has made several investments in sustaining its moatworthy business models, including its global fulfillment infrastructure, a vast portfolio of audio and video content, and Amazon Web Services capacity. However, charges tied to the Fire Phone in 2014 and operating losses in certain international markets underscore the importance of Amazon being selective with its capital-allocation decisions. We believe the lack of consumer interest in the Fire Phone was a wakeup call for management's capital decisions, as the company runs the risk of losing key personnel without stronger returns on invested capital, owing to the equity component of many employees' compensation structure. However, we're comfortable with this risk, based on recent capital discipline and investments that have been more directly aligned with the core commerce marketplace and AWS platforms.

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Analyst Notes Archive

We Expect Amazon Fresh to Be E-Commerce's Breakthrough Story for 2020

R.J. Hottovy, Analyst, 15 January 2020

After years of promise but uneven results, Amazon's online grocery efforts reached an important inflection point in late 2019 following the removal of Amazon Fresh's \$15 monthly service fee and the introduction of one- and two-hour delivery window options for Prime members. In our view, this decision removed two of the key barriers preventing Prime members from fully embracing online grocery--cost and convenience--and has triggered widespread interest in markets where the service is offered. Our analysis suggests not only a meaningful uptick in consumer awareness of Amazon's grocery delivery capabilities, but also a 30%-plus increase in consumer adoption and order frequency rates based on website traffic and physical activity at Amazon Fresh fulfillment centers.

Why should investors find this information significant? One, it plays directly into our thesis that Amazon is pivoting away from customer acquisition and finding creative ways to engage with consumers, enhancing the network effect that underpins our wide moat rating. Two, it should reassure investors that the heavy investments that Amazon made in 2019 and will continue to make in 2020 are driving revenue higher. Three, because grocery is a high-frequency category, continued consumer adoption in 2020 could set the company up for revenue upside surprises in the quarters and years to come. Taken together, we believe the accelerated adoption of Amazon Fresh supports the longer-term revenue growth assumptions that underpin our \$2,300 fair value estimate and gives us greater conviction in Amazon as our top pick in e-commerce in 2020.

One-Day Investments Bolstering Amazon's Network Effect and Driving Prime Engagement Globally

R.J. Hottovy, Analyst, 31 January 2020

Amazon's blowout fourth-quarter results were highlighted by a 21% increase in revenue to \$87.4 billion (versus guidance of \$80.0 billion-\$86.5 billion) and better-than-expected operating profit of \$3.9 billion (versus \$1.2 billion-\$2.9 billion). We see three key takeaways.

Prime One-Day logistics investments are having a positive

effect. Not only are they driving sales in higher-frequency categories (including grocery, where orders doubled in the quarter), but also spurring growth in higher-margin functions like third-party seller services (up 31% in constant currencies), subscription services (32%), and advertising (41%). While management committed to incremental Prime One-Day investments (including \$1 billion in first quarter), we believe this benefit strengthens the network effect behind our wide moat rating and gives us greater confidence that 9% consolidated operating margins are achievable by 2024.

Also, Prime memberships have reached 150 million globally, up from 100 million at the end of 2017. We believe this has been a byproduct of international member growth, and believe that Amazon has the same monetization opportunities abroad that we've seen in the U.S. While we don't expect the international segment to post operating profits for several years (especially when factoring \$1 billion in India small-sellers investments), we see international Prime member engagement as a long-term contributor.

AWS concerns have been overblown. It posted revenue growth of 34% and operating margins of 26.1% (improving a point versus the past two quarters). While AWS operating margins remain below last year's peak of 28% due to sales team and other investments, we still see a path to 30% over time as enterprise customers adopt higher-margin specialized services.

Based on the fourth-quarter strength and optimism regarding its margin profile, we're planning to raise our fair value estimate to \$2,400 per share from \$2,300 and view Amazon as our top pick in online retail.

Online Grocery, AWS, and Content Demand Should Help Amazon Navigate Coronavirus Disruptions

R.J. Hottovy, Analyst, 12 March 2020

As one of the global leaders in online commerce, wide-moat Amazon is in a unique position amid the global coronavirus outbreak. As containment efforts hasten and more consumers isolate themselves, we believe some Amazon services will see increased adoption. The most obvious example is online grocery, which has accelerated significantly in recent weeks, based on our discussions with logistics industry executives. With a spike in telecommuting, Amazon Web Services also stands to benefit from increased enterprise cloud computing,

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storage, networking/content delivery, mobile app, and digital security usage. On top of increased enterprise-level cloud demand, we anticipate that Amazon will benefit from increased demand for entertainment content, either directly (its own content portfolio) or indirectly (AWS functionality for Netflix and other content providers).

While Amazon is well positioned to capitalize on coronavirus-related demand, it could also face obstacles. At the top of the list is reduced discretionary spending. The company has done a better job diversifying its product mix toward more consumer staples in recent years, but a material consumer slowdown would still affect top-line growth. Additionally, we expect supply chain disruptions for Amazon (including its own hardware) and its third-party sellers to result in some shipment delays.

We plan to raise our first-quarter revenue outlook above current guidance of \$69 billion-\$73 billion, due to emergency preparedness spending and increased AWS usage, but we also expect a pullback in discretionary spending over the year, keeping our full-year revenue growth outlook of 21% intact. Our model still forecasts modest operating margin expansion (versus 5.2% a year ago) as AWS contribution counters incremental logistics costs and lower-margin grocery products. We're maintaining our \$2,400 fair value estimate and view Amazon as the online commerce name best positioned to navigate the coronavirus outbreak.

We have three takeaways from the quarter. First, management indicated many COVID-19-related investments would be temporary and would wind down as the situation dictates. While we expect COVID-19 investments to persist beyond the second quarter, some of the impact will be softened as Amazon laps last year's Prime one-day shipping investments. Second, Amazon should remain a critical distribution channel for buyers/sellers, even if recessionary conditions persist because of a product mix shift toward consumer staples in recent years (including grocery). Third, while AWS revenue growth was a bit softer than expected (chalked up to softness among customers in higher discretionary categories), margins improved 120 basis points to 30.1%. This suggests increased usage and new service adoption trends among existing customers, which help to negate the margin impact of near-term COVID-19 investments.

We're planning to raise our full-year revenue growth outlook to the mid-20s but cut our operating margin outlook to the 4% range (versus 5.2% in 2019). We're also planning a modest increase in our medium-term revenue outlook, which will result in a modest increase to our \$2,400 FVE. We see shares as fairly valued, but don't see many downside catalysts on the horizon.

Coronavirus-Related Investments Change Amazon's Near-Term Margin Profile, but Bolster Network Effect

R.J. Hottovy, Analyst, 01 May 2020

While most investors recognized the possibility of incremental costs to satisfy a surge in consumer demand, few anticipated Amazon's plans to invest more than \$4 billion in the second quarter for coronavirus expenses (including facility productivity measures, protective equipment, cleaning, wage increases, and COVID-19 testing capabilities). While this changes our near-term margin outlook, we see it as necessary to satisfy/retain Prime members in an evolving consumer environment (especially those tempted to shop elsewhere because of fulfillment bottlenecks) and improve the third-party seller experience. These are critical to the network effect underpinning our wide-moat rating and justify the investment spending.

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Fair Value^Q
06 Jul 2020 02:00 UTC
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Market Cap
06 Jul 2020
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Sector
 Consumer Cyclical

Industry
Internet Retail

Country of Domicile
 United States

There is no one analyst in which a Quantitative Fair Value Estimate and Quantitative Star Rating are attributed to; however, Mr. Lee Davidson, Head of Quantitative Research for Morningstar, Inc., is responsible for overseeing the methodology that supports the quantitative fair value. As an employee of Morningstar, Inc., Mr. Davidson is guided by Morningstar, Inc.'s Code of Ethics and Personal Securities Trading Policy in carrying out his responsibilities. For information regarding Conflicts of Interests, visit <http://global.morningstar.com/equitydisclosures>

Company Profile

Amazon is among the world's highest-grossing online retailers, with \$281 billion in net sales and roughly \$365 billion in estimated physical/digital gross merchandise volume (GMV) in 2019. Online product and digital media sales accounted for 50% of net revenue in 2019, followed by commissions, related fulfillment and shipping fees, and other third-party seller services (19%), Amazon Web Services' cloud computing, storage, database, and other offerings (13%), Prime membership fees and other subscription-based services

Quantitative Scores

		Scores		
		All	Rel Sector	Rel Country
Quantitative Moat	Wide	100	100	100
Valuation	Overvalued	3	2	5
Quantitative Uncertainty	High	98	99	96
Financial Health	Strong	95	81	95



Valuation			Sector	Country
	Current	5-Yr Avg	Median	Median
Price/Quant Fair Value	1.24	0.95	0.80	0.83
Price/Earnings	138.1	237.9	16.2	20.1
Forward P/E	135.1	—	12.3	13.9
Price/Cash Flow	36.7	30.0	10.2	13.1
Price/Free Cash Flow	75.4	65.8	17.7	19.5
Trailing Dividend Yield %	—	—	2.46	2.35
Price/Book	22.1	21.1	1.6	2.4
Price/Sales	4.9	3.3	0.9	2.4

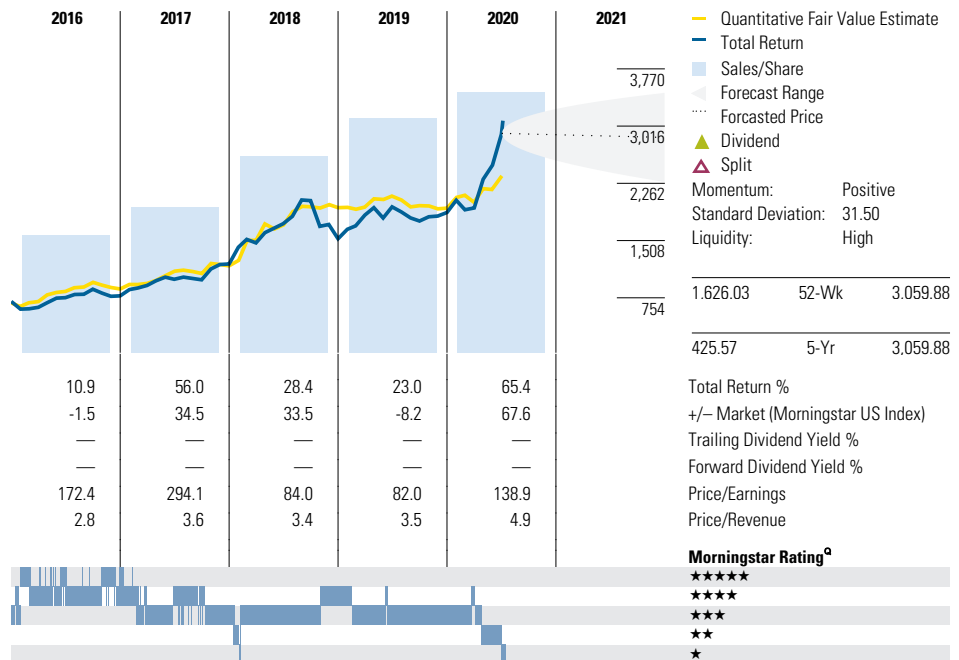
Profitability	Current	5-Yr Avg	Sector Median	Country Median
Return on Equity %	18.6	16.5	12.2	12.9
Return on Assets %	5.3	4.0	5.4	5.2
Revenue/Employee (K)	371.3	377.5	566.3	325.9

Financial Health		Current	5-Yr Avg	Sector Median	Country Median
Distance to Default		0.7	0.7	0.6	0.5
Solvency Score		457.3	—	486.0	552.4
Assets/Equity		3.6	4.3	1.8	1.7
Long-Term Debt/Equity		0.4	0.6	0.2	0.4

Growth Per Share

	1-Year	3-Year	5-Year	10-Year
Revenue %	20.5	27.3	25.8	27.6
Operating Income %	17.1	51.5	141.2	28.0
Earnings %	14.3	67.5	—	27.4
Dividends %	—	—	—	—
Book Value %	40.5	45.5	40.1	26.5
Stock Total Return %	57.3	46.9	47.6	39.4

Price vs. Quantitative Fair Value

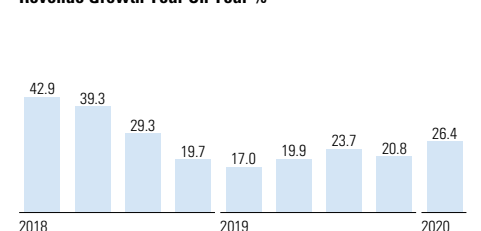


	2015	2016	2017	2018	2019	TTM	Financials (Fiscal Year in Mil)
Revenue	107,006	135,987	177,866	232,887	280,522	296,274	Revenue
% Change	20.2	27.1	30.8	30.9	20.5	5.6	% Change
Operating Income	2,233	4,186	4,106	12,421	14,541	14,110	Operating Income
% Change	1,154.5	87.5	-1.9	202.5	17.1	-3.0	% Change
Net Income	596	2,371	3,033	10,073	11,588	10,562	Net Income
Operating Cash Flow	11,920	16,443	18,434	30,723	38,514	39,732	Operating Cash Flow
Capital Spending	-4,589	-6,737	-11,955	-13,427	-16,861	-20,366	Capital Spending
Free Cash Flow	7,331	9,706	6,479	17,296	21,653	19,366	Free Cash Flow
% Sales	6.9	7.1	3.6	7.4	7.7	6.5	% Sales
EPS	1.25	4.90	6.15	20.14	23.01	20.93	EPS
% Change	—	292.0	25.5	227.5	14.3	-9.0	% Change
Free Cash Flow/Share	11.41	17.76	14.71	26.78	39.92	38.35	Free Cash Flow/Share
Dividends/Share	—	—	—	—	—	—	Dividends/Share
Book Value/Share	26.39	37.28	50.95	79.68	113.47	130.86	Book Value/Share
Shares Outstanding (K)	471,000	477,000	484,000	491,000	498,000	498,776	Shares Outstanding (K)
Return on Equity %	4.9	14.5	12.9	28.3	22.0	18.6	Profitability
Return on Assets %	1.0	3.2	2.8	6.9	6.0	5.3	Return on Assets %
Net Margin %	0.6	1.7	1.7	4.3	4.1	3.6	Net Margin %
Asset Turnover	1.78	1.83	1.66	1.58	1.45	1.48	Asset Turnover
Financial Leverage	4.9	4.3	4.7	3.7	3.6	3.4	Financial Leverage
Gross Margin %	20.5	22.1	22.9	25.6	26.7	26.1	Gross Margin %
Operating Margin %	2.1	3.1	2.3	5.3	5.2	4.8	Operating Margin %
Long-Term Debt	8,235	7,694	24,743	23,495	23,414	23,437	Long-Term Debt
Total Equity	13,384	19,285	27,709	43,549	62,060	65,272	Total Equity
Fixed Asset Turns	5.5	5.3	4.6	4.2	3.5	3.2	Fixed Asset Turns

Quarterly Revenue & EPS

	Mar	Jun	Sep	Dec	Total
Revenue (Bil)	75.5	—	—	—	—
2020	75.5	—	—	—	—
2019	59.7	63.4	70.0	87.4	280.5
2018	51.0	52.9	56.6	72.4	232.9
2017	35.7	38.0	43.7	60.5	177.9
Earnings Per Share (I)	5.01	—	—	—	—
2020	5.01	—	—	—	—
2019	7.09	5.22	4.23	6.47	23.01
2018	3.27	5.07	5.75	6.04	20.14
2017	1.48	0.40	0.52	3.75	6.15

Revenue Growth Year On Year %



Research Methodology for Valuing Companies

Qualitative Equity Research Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, in-depth competitive advantage analysis, and a variety of other analytical tools to augment this process. We believe this bottom-up, long-term, fundamentally based approach allows our analysts to focus on long-term business drivers, which have the greatest valuation impact, rather than short-term market noise.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at an uncertainty-adjusted discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk-adjusted discount to their fair values whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our single-point star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define excess economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats:

intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

To assess the direction of the underlying competitive advantages, analysts perform ongoing assessments of the moat trend. A firm's moat trend is positive in cases where we think its sources of competitive advantage are growing stronger; stable where we don't anticipate changes to competitive advantages over the next several years; or negative when we see signs of deterioration.

All the moat and moat trend ratings undergo periodic review and any changes must be approved by the Morningstar Economic Moat Committee, comprised of senior members of Morningstar's equity research department.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in working-capital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes, or EBIT, and the net new investment, or NNI, to derive our annual free cash flow forecast.

Stage II: Fade

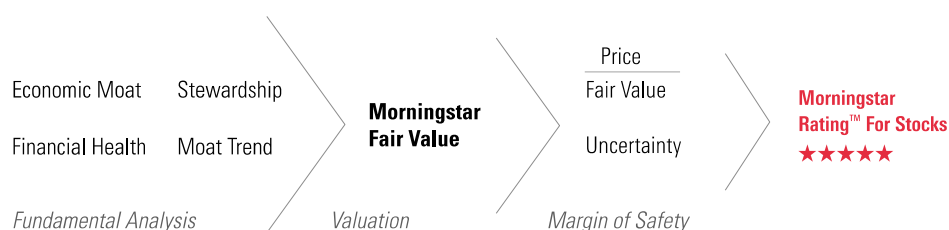
The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBIT over the period, a normalized investment rate, average return on new invested capital, or RONIC, and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until the perpetuity stage is reached. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term market-value weights.

Morningstar Research Methodology for Valuing Companies



Research Methodology for Valuing Companies

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating captures a range of likely potential intrinsic values for a company and uses it to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating represents the analysts' ability to bound the estimated value of the shares in a company around the fair value estimate, based on the characteristics of the business underlying the stock, including operating and financial leverage, sales sensitivity to the overall economy, product concentration, pricing power, and other company-specific factors.

Analysts consider at least two scenarios in addition to their base case: a bull case and a bear case. Assumptions are chosen such that the analyst believes there is a 25% probability that the company will perform better than the bull case, and a 25% probability that the company will perform worse than the bear case. The distance between the bull and bear cases is an important indicator of the uncertainty underlying the fair value estimate.

Our recommended margin of safety widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the estimated value of the equity, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the uncertainty rating provides guidance in portfolio construction based on risk tolerance.

Our uncertainty ratings for our qualitative analysis are low, medium, high, very high, and extreme.

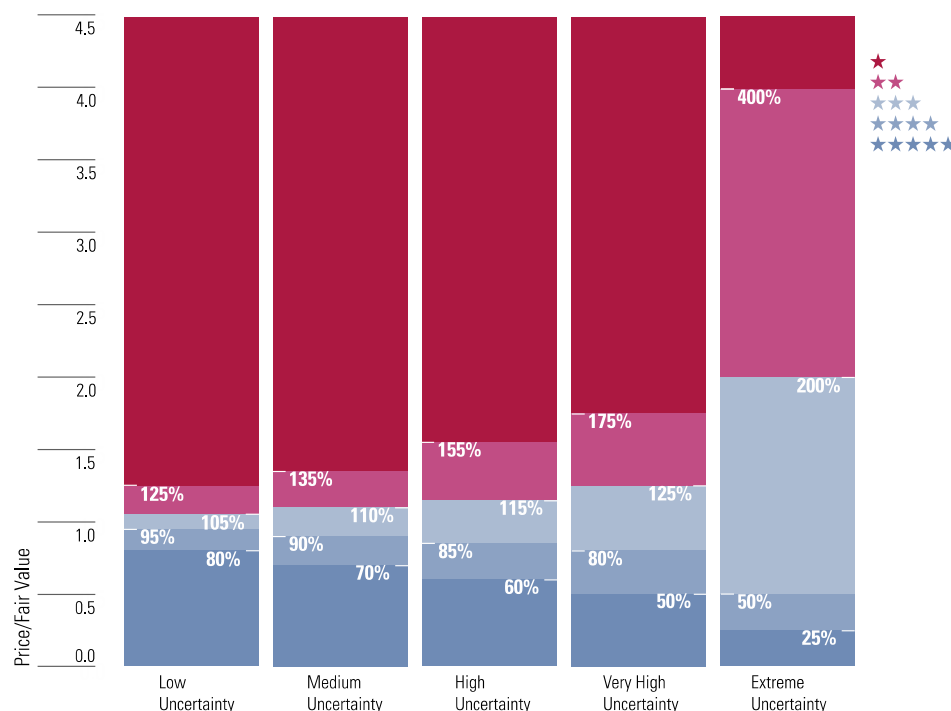
- ▶ Low—margin of safety for 5-star rating is a 20% discount and for 1-star rating is 25% premium.
- ▶ Medium—margin of safety for 5-star rating is a 30% discount and for 1-star rating is 35% premium.
- ▶ High—margin of safety for 5-star rating is a 40% discount and for 1-star rating is 55% premium.
- ▶ Very High—margin of safety for 5-star rating is a 50% discount and for 1-star rating is 75% premium.
- ▶ Extreme—margin of safety for 5-star rating is a 75% discount and for 1-star rating is 300% premium.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed, which we believe is a reliable source.

For more details about our methodology, please go to <https://shareholders.morningstar.com>.

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time, generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk-adjusted return is highly likely over a multiyear time frame. The current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. The market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Research Methodology for Valuing Companies

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Stewardship Rating: Represents our assessment of management's stewardship of shareholder capital, with particular emphasis on capital allocation decisions. Analysts consider companies' investment strategy and valuation, financial leverage, dividend and share buyback policies, execution, compensation, related party transactions, and accounting practices. Corporate governance practices are only considered if they've had a demonstrated impact on shareholder value. Analysts assign one of three ratings: "Exemplary," "Standard," and "Poor." Analysts judge stewardship from an equity holder's perspective. Ratings are determined on an absolute basis. Most companies will receive a Standard rating, and this is the default rating in the absence of evidence that managers have made exceptionally strong or poor capital allocation decisions.

Quantitative Valuation: Using the below terms, intended to denote the relationship between the security's Last Price and Morningstar's quantitative fair value estimate for that security.

- Undervalued: Last Price is below Morningstar's quantitative fair value estimate.
- Fairly Valued: Last Price is in line with Morningstar's quantitative fair value estimate.
- Overvalued: Last Price is above Morningstar's quantitative fair value estimate.

Risk Warning

Please note that investments in securities are subject to market and other risks and there is no assurance or guarantee that the intended investment objectives will be achieved. Past performance of a security may or may not be sustained in future and is no indication of future performance. A security investment return and an investor's principal value will fluctuate so that, when redeemed, an investor's shares may be worth more or less than their original cost. A security's current investment performance may be lower or higher than the investment performance noted within the report. Morningstar's Uncertainty Rating serves as a useful data point with respect to sensitivity analysis of the assumptions used in our determining a fair value price.

Quantitative Equity Reports Overview

The quantitative report on equities consists of data, statistics and quantitative equity ratings on equity securities. Morningstar, Inc.'s quantitative equity ratings are forward looking and are generated by a statistical model that is based on Morningstar Inc.'s analyst-driven equity ratings and quantitative statistics. Given the nature of the

quantitative report and the quantitative ratings, there is no one analyst in which a given report is attributed to; however, Mr. Lee Davidson, Head of Quantitative Research for Morningstar, Inc., is responsible for overseeing the methodology that supports the quantitative equity ratings used in this report. As an employee of Morningstar, Inc., Mr. Davidson is guided by Morningstar, Inc.'s Code of Ethics and Personal Securities Trading Policy in carrying out his responsibilities.

Quantitative Equity Ratings

Morningstar's quantitative equity ratings consist of:

- (i) Quantitative Fair Value Estimate
 - (ii) Quantitative Star Rating
 - (iii) Quantitative Uncertainty
 - (iv) Quantitative Economic Moat
 - (v) Quantitative Financial Health
- (collectively the "Quantitative Ratings").

The Quantitative Ratings are calculated daily and derived from the analyst-driven ratings of a company's peers as determined by statistical algorithms. Morningstar, Inc. ("Morningstar," "we," "our") calculates Quantitative Ratings for companies whether it already provides analyst ratings and qualitative coverage. In some cases, the Quantitative Ratings may differ from the analyst ratings because a company's analyst-driven ratings can significantly differ from other companies in its peer group.

Quantitative Fair Value Estimate: Intended to represent Morningstar's estimate of the per share dollar amount that a company's equity is worth today. Morningstar calculates the quantitative fair value estimate using a statistical model derived from the fair value estimate Morningstar's equity analysts assign to companies. Please go to <https://shareholders.morningstar.com> for information about fair value estimates Morningstar's equity analysts assign to companies.

Quantitative Economic Moat: Intended to describe the strength of a firm's competitive position. It is calculated using an algorithm designed to predict the Economic Moat rating a Morningstar analyst would assign to the stock. The rating is expressed as Narrow, Wide, or None.

- Narrow: assigned when the probability of a stock receiving a "Wide Moat" rating by an analyst is greater than 70% but less than 99%.
- Wide: assigned when the probability of a stock receiving a "Wide Moat" rating by an analyst is greater than 99%.
- None: assigned when the probability of an analyst receiving a "Wide Moat" rating by an analyst is less than 70%.

Quantitative Star Rating: Intended to be the summary rating based on the combination of our Quantitative Fair

Value Estimate, current market price, and the Quantitative Uncertainty Rating. The rating is expressed as 1-Star, 2-Star, 3-Star, 4-Star, and 5-Star.

★: the stock is overvalued with a reasonable margin of safety.

Log (Quant FVE/Price) < -1 * Quantitative Uncertainty

★★: the stock is somewhat overvalued.

Log (Quant FVE/Price) between (-1 * Quantitative Uncertainty, -0.5 * Quantitative Uncertainty)

★★★: the stock is approximately fairly valued.

Log (Quant FVE/Price) between (-0.5 * Quantitative Uncertainty, 0.5 * Quantitative Uncertainty)

★★★★: the stock is somewhat undervalued.

Log (Quant FVE/Price) between (0.5 * Quantitative Uncertainty, 1 * Quantitative Uncertainty)

★★★★★: the stock is undervalued with a reasonable margin of safety. Log (Quant FVE/Price) > 1 * Quantitative Uncertainty

Quantitative Uncertainty: Intended to represent Morningstar's level of uncertainty about the accuracy of the quantitative fair value estimate. Generally, the lower the quantitative Uncertainty, the narrower the potential range of outcomes for that particular company. The rating is expressed as Low, Medium, High, Very High, and Extreme.

- Low: the interquartile range for possible fair values is less than 10%.
- Medium: the interquartile range for possible fair values is less than 15% but greater than 10%.
- High: the interquartile range for possible fair values is less than 35% but greater than 15%.
- Very High: the interquartile range for possible fair values is less than 80% but greater than 35%.
- Extreme: the interquartile range for possible fair values is greater than 80%.

Quantitative Financial Health: Intended to reflect the probability that a firm will face financial distress in the near future. The calculation uses a predictive model designed to anticipate when a company may default on its financial obligations. The rating is expressed as Weak, Moderate, and Strong.

- Weak: assigned when Quantitative Financial Health < 0.2
- Moderate: assigned when Quantitative Financial Health is between 0.2 and 0.7
- Strong: assigned when Quantitative Financial Health > 0.7

Research Methodology for Valuing Companies

Other Definitions

Last Close: Price of the stock as of the close of the market of the last trading day before date of the report.

Quantitative Valuation: Using the below terms, intended to denote the relationship between the security's Last Price and Morningstar's quantitative fair value estimate for that security.

- Undervalued: Last Price is below Morningstar's quantitative fair value estimate.
- Fairly Valued: Last Price is in line with Morningstar's quantitative fair value estimate.
- Overvalued: Last Price is above Morningstar's quantitative fair value estimate.

This Report has not been made available to the issuer of the security prior to publication.

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Please note that investments in securities are subject to market and other risks and there is no assurance or guarantee that the intended investment objectives will be achieved. Past performance of a security may or may not be sustained in future and is no indication of future performance. A security investment return and an investor's principal value will fluctuate so that, when redeemed, an investor's shares may be worth more or less than their original cost. A security's current investment performance may be lower or higher than the investment performance noted within the report.

The quantitative equity ratings are not statements of fact. Morningstar does not guarantee the completeness or accuracy of the assumptions or models used in determining the quantitative equity ratings. In addition, there is the risk that the price target will not be met due to such things as unforeseen changes in demand for the company's products, changes in management, technology, economic development, interest rate development, operating and/or material costs, competitive pressure, supervisory law, exchange rate, and tax rate. For investments in foreign markets there are further risks, generally based on exchange rate changes or changes in political and social conditions.

A change in the fundamental factors underlying the quantitative equity ratings can mean that the valuation is subsequently no longer accurate.

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Amazon.com Inc AMZN (XNAS)

Morningstar Rating	Last Price	Fair Value Estimate	Price/Fair Value	Trailing Dividend Yield %	Forward Dividend Yield %	Market Cap (Bil)	Industry	Stewardship
★★	3,057.04 USD	2500.00 USD	1.22	—	0.00	1,524.78	Internet Retail	Exemplary
06 Jul 2020 21:40, UTC	06 Jul 2020	07 May 2020 13:33, UTC		06 Jul 2020	06 Jul 2020	06 Jul 2020		

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Price/Fair Value Morningstar data as of Jul 06, 2020



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Amazon.com Inc AMZN (XNAS)

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★★	3,057.04 USD	2500.00 USD	1.22	—	0.00	1,524.78	Internet Retail	Exemplary
06 Jul 2020 21:40, UTC	06 Jul 2020	07 May 2020 13:33, UTC		06 Jul 2020	06 Jul 2020	06 Jul 2020		

investment decision and when deemed necessary, to seek the advice of a legal, tax, and/or accounting professional.

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Amazon.com Inc AMZN (XNAS)

Morningstar Rating	Last Price	Fair Value Estimate	Price/Fair Value	Trailing Dividend Yield %	Forward Dividend Yield %	Market Cap (Bil)	Industry	Stewardship
★★ 06 Jul 2020 21:40, UTC	3,057.04 USD 06 Jul 2020	2500.00 USD 07 May 2020 13:33, UTC	1.22	— 06 Jul 2020	0.00 06 Jul 2020	1,524.78 06 Jul 2020	Internet Retail	Exemplary

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